



takes over respects what it represents and has the skills and drive to build on that. Identify staff or family members who show the potential to lead the business. If you feel none have the right abilities, be prepared to look for people beyond the business. Cultivating a successor should be part of the management process.

Stepping back

Ideally, your exit should be planned in stages, giving the new leader a chance to settle in and win the trust of staff and key customers. Step out of the picture gradually, reducing your days in the office, for example, but do not linger too long, or your successor may feel hampered by your presence. The timing will depend on the identity of your successor—an existing member of staff who has worked closely with you may need far less time to get up to speed than an outside recruit.

PLANNING YOUR EXIT

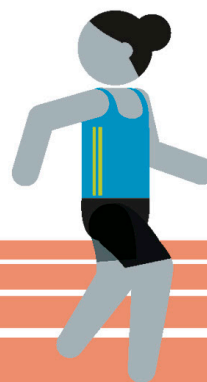
An important part of your exit strategy is to plan for how your next venture or retirement will be funded.

- › **Start planning early**, when you set up the business.
- › **Have an idea** of the milestones you want to reach before you step away, or at what age you would like to retire, and how much capital you would need to fund your next project or desired lifestyle.
- › **Get advice** on the tax advantages and rate of return for different types of pensions.
- › **Build savings** into the business plan so that money is regularly paid from the profits into a pension fund and savings accounts.
- › **Make a will** to ensure your family is provided for.

58%

of small
business owners have
no succession plan

Wilmington Trust, 2018



Develop your successor's skills

- › **Train your successor** in the new skills required, exposing them to all business areas.
- › **Provide ongoing mentoring** to build their confidence.

Prepare for the final handover

- › **Start to allow** your successor freedom to operate.
- › **Phase your exit** if your successor expresses a need for ongoing support.
- › **Review and assess** successors's performance before your final exit.
- › **Avoid the temptation** to interfere once you have left—let your successor make the key decisions.